Business Research Methods II

FIIB
Enter to Learn, Leave to Succeed



Impact of Trust, Perceived Risk and Online Reviews on Online Purchase Decision

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Problem Identification

Online shopping has grown rapidly across the world.

- Global e-commerce crossed $5.8 trillion
- India has over 900 million internet users
- Platforms like Amazon, Flipkart and Meesho dominate

Why This Problem Matters

- 70% cart abandonment affects business revenue
- Lack of trust reduces customer conversion
- Reviews strongly influence buying decisions
- Businesses need to understand key drivers of purchase



Research Question

What factors influence consumers to complete online purchases?

- Trust
- Perceived Risk
- Online Reviews

Therefore, this study examines how Trust, Risk and Reviews affect Purchase Decision

(Baymard Institute, 2023)
(Statista, 2024)

Objectives & Hypothesis

Objectives

- Study impact of trust on purchase decision
- Study perceived risk impact
- Study effect of online reviews
- Understand relationship between variables





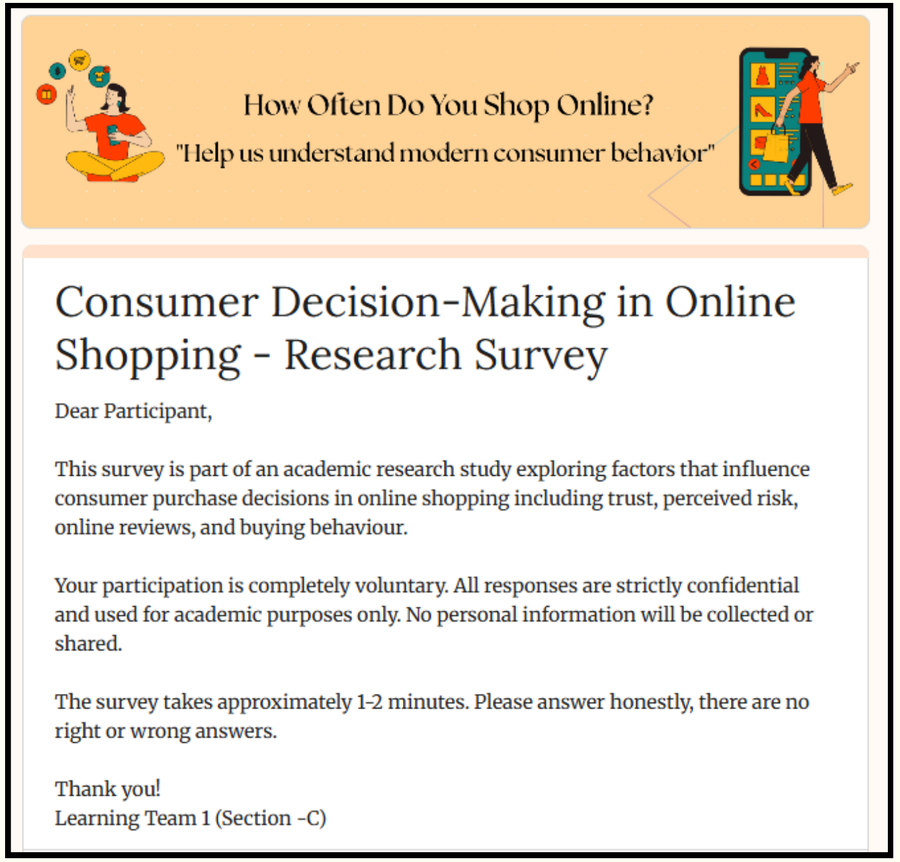
H1: Trust positively affects purchase decision.
H2: Perceived risk negatively affects purchase decision
H3: Online reviews positively affect trust
H4: Online reviews reduce perceived risk
H5: Online reviews positively affect purchase decision

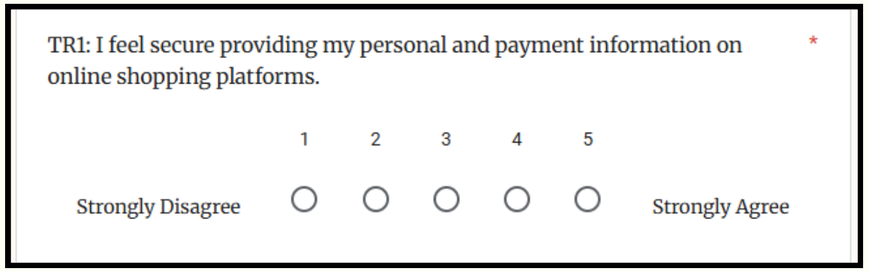
How We Studied



Quantitative Survey
- Google Form
- 20 Questions
- 25 Respondents
- 5-Point Likert Scale

Variables:
- Trust
- Risk
- Reviews
- Purchase Decision





Google Form → Responses → Excel Analysis → Insights

Research Methodology

Research Type: Quantitative
Research Design: Descriptive Survey
Sample Size: 25 respondents
Sampling Method: Convenience Sampling
Data Collection Tool: Google Form
Scale: 5-Point Likert Scale

Mean
Used to find average response for each variable
Trust = 3.92
Risk = 3.71
Reviews = 4.24
Purchase = 3.97
➡Reviews had the highest average influence

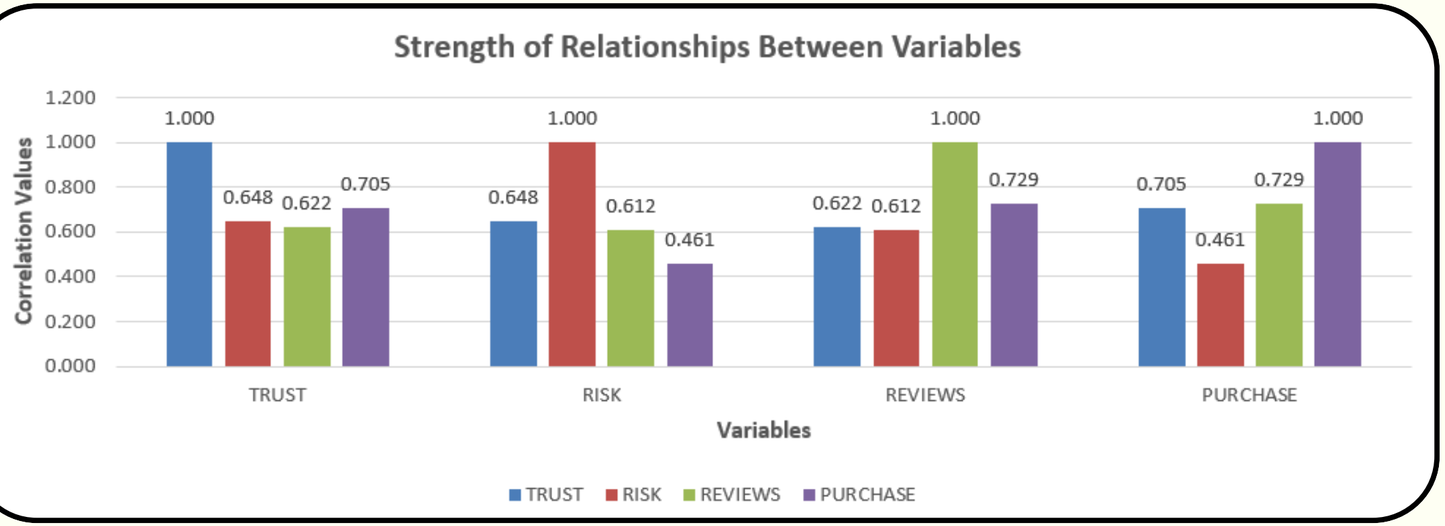
Standard Deviation
Shows variation in responses
Trust = 0.91
Risk = 1.02 (Highest variation)
Reviews = 0.77 (Most consistent)
Purchase = 1.03



Cronbach Alpha (Reliability Test)
Checks consistency of questionnaire
Trust = 0.798
Risk = 0.890
Reviews = 0.848
Purchase = 0.848
➡ All values above 0.7 → Data reliable

What Relationships We Found

Correlation Analysis
Measures relationship between variables
Reviews → Purchase = 0.729 (Strongest)
Trust → Purchase = 0.705 (Strong)
Risk → Purchase = 0.461 (Moderate)





P-Value Results (Significance Level 0.05)
H1: Trust → Purchase
r = 0.705 | p = 0.000002 | Supported
H2: Risk → Purchase
r = 0.461 | p = 0.013 | Not Supported
H3: Reviews → Trust
r = 0.622 | p = 0.000137 | Supported
H4: Reviews → Risk
r = 0.612 | p = 0.000209 | Not Supported
H5: Reviews → Purchase
r = 0.729 | p = 0.000000 | Supported



Final Insights & Recommendations



Key Takeaways

- Online reviews have the strongest influence on online purchase decisions
- Consumer trust significantly increases the likelihood of completing purchases
- Perceived risk exists but does not strongly discourage experienced online shoppers



Managerial Implications

- Businesses should encourage verified customer reviews
- Build trust through return and refund policies
- Display ratings and customer feedback prominently
- Reduce perceived risk through product transparency
- Focus on digital trust-building strategies

Conclusion

Online reviews and trust are the most important drivers of online purchase decisions.Businesses that invest in review systems and trust-building mechanisms can significantly improve customer confidence and sales.